happenings. For example a saving deposit made in the name of a child may be deposited with a condition that it can be withdrawn only after the child become a major. This is an example for time liability portion of saving deposits.

In $M_1$, only demand liability portion is included. So, the above equation can be rewritten as follows:

= *Currency with the Public + Current Deposits with the Banking System + Demand liabilities portion of Saving Deposits with the Banking System + Other Deposits with RBI*

The second working group had apportioned saving deposits into demand and time liabilities on the basis of interest application on such deposits. This practice is continued by the third working group also.

## 3. Intermediate Money ($M_2$)

It is called intermediate money for the reason financial assets included in this category are more than those included in M1 but less than those included in M3.

$M_2$=$M_1$ + *Time Liabilities portion of savings Deposits with the Banking system + Certificates of Deposit issued by Banks + Term Deposits (excluding Foreign Currency Non-Resident (Bank) (FCNR (B)) Deposits) up to one year maturity with the Banking system*

It can be rewritten as follows:

= Currency with the public + Current Deposits with the Banking System + Savings deposits with the banking system + Certificates of deposits issued by Banks + Term Deposits with the Banking System + Term Deposits (excluding FCNR (B) deposits) up to and including one year maturity with the banking system + Other deposits with the RBI.